

Risk assessment

Dell is committed to a strong risk management culture. Through risk oversight practices and a culture of risk management among Dell team members, we better understand our potential for risk and opportunity.

Enterprise risk management

Dell’s Board of Directors is responsible for risk oversight, and Dell’s management is responsible for designing processes and procedures to identify, assess and manage risk on a day-to-day basis. Management has implemented an enterprise risk management (ERM) program, managed by Dell’s internal audit function and supported by management risk committees. The ERM program is designed to work across the business to identify, assess, govern and manage the Company’s strategic, operational, financial and compliance risks. Our ERM program seeks to enhance enterprise awareness of risk management, recommend best practices for risk management and highlight critical risk areas to optimize allocation of resources.

Although Dell continually assesses its risk environment, the internal audit function performs an annual risk assessment that is informed by risk data collection, an analysis of industry trends, consideration of insights of third-party risk reporting companies, peer benchmarking and interviews with senior leaders and Company experts. The annual assessment considers whether risks constitute short, medium and long-term threats to our enterprise and provides for prioritization, in part, based on the timeframe of such risks. Our ERM program is assessed externally on a periodic basis for best practices and maturity of the program. The ERM program aims to identify the most critical risks and opportunities impacting Dell’s business objectives.

We work to foster a strong risk management culture among Dell team members, because they are our first defense against risk. Across the business our

management risk committees are an integral part of the overall ERM structure, promoting risk management and compliance best practices and oversight within the business.

The output of the Company’s enterprise risk assessment serves as an important consideration in the Company’s risk based internal audit roadmap. Regular updates are provided to the Board and Audit Committee on various risk-related matters as identified by the ERM program, including any related to climate risks.

Please read the [Audit Committee Charter](#) and refer to our [SEC Form 10-K, Item 1A – Risk Factors](#) for a description of important risks that may impact the company’s performance.





ESG risk

We assess ESG-related risks to ensure we understand our potential risk areas. Our [materiality assessment](#) helps us understand ESG-specific topics most material to our business, and we will have a clearer understanding of ESG topics most material to Dell at the conclusion of our in-progress double materiality assessment. For topics such as human rights and climate risks, we conduct assessments with third-party experts to better understand our risks.

Human rights risks

We periodically engage third-party experts to conduct human rights impact assessments (HRIAs) to ensure and advance our understanding of human rights risks and impacts. These assessments inform Dell policies and support our risk mitigation, governance practices and strategic priorities.

We are dedicated to continually increasing our understanding and effective mitigation of actual, potential or emerging risks. The ongoing effectiveness and evolution of our human rights strategy is built on identifying opportunities to accelerate positive impacts and address risks. Insights from our FY24 third-party HRIA deepened our understanding of current, new and evolving salient risks and continues to inform and strengthen our risk mitigation strategies and governance practices. View our most salient human rights risks in the [Human Rights](#) section of this report.

Climate risks

We are committed to identifying, managing and mitigating climate risks by leveraging our ERM program alongside ESG and climate-specific governance models. We use the framework proposed by the [Taskforce for Climate-Related Financial Disclosure](#) (TCFD) to ensure that climate risks are governed to the same standard as other risks we face, while acknowledging the unique long-term nature of climate change.

In FY24, we conducted a climate-specific risk assessment using scenario analysis. The analysis incorporated the latest climate scenarios developed by the [Intergovernmental Panel on Climate Change](#) (IPCC) in their sixth assessment and covered physical risks, transition risks and climate opportunities.

Our assessment consisted of:

- A **review** of climate risks which affect us today and a **roadmap** on how we can further integrate climate risks into our ERM processes.
- A **high-level scenario analysis** of over 1,000 Dell and supplier sites subject to 11 physical hazards between 2°C and 4°C scenarios, from the present day to 2050.²² This assessment revealed how Dell-owned facilities and our supply chain are potentially exposed to a matrix of hazards and scenarios across time horizons.

- A **deep-dive scenario analysis** on three key topics: covering a physical risk in our supply chain, a transition risk in carbon pricing and a transition opportunity around low-carbon products. Scenarios included those by the IPCC and IEA between 1.5C and 4C+, with time horizons from 2030 and 2050. This analysis helped us refine our mitigation planning for financial value that is at risk across our supply chain, for potential impacts that carbon pricing could have on our supply chain and for changes in the price of goods and services that we purchase.

These assessments support our readiness for reporting requirements like the EU Corporate Sustainability Reporting Directive (CSRD) and TCFD aligned disclosure from various stakeholders, including the governments where we operate and our customers.

In alignment with our climate goals, we will work to integrate these climate assessments results into our business planning processes. This way, we can build a climate-resilient strategy into our operations and supply chain. Moving forward, we plan to provide updates on these strategic integrations in Dell Technologies Climate Transition Action Plans starting in FY25.